earnings at around $1.10, the 54 per cent growth in earnings had produced in just twelve months an approximate 100 per cent increase in market value.

In the original edition I went on to say:

"I suspect that if the headquarters of the principal divisions of this company were not located in Dallas and Houston, but were situated along the northern half of the Atlantic seaboard or in the Los Angeles metropolitan area—where more financial analysts and other managers of important funds could more easily learn about the company—this price-earnings ratio might have gone even higher during this period. If, as appears prob-able, Texas Instruments' sales and earnings continue their sharp upward trend for some years to come, it will be interesting to see whether this continued growth, of itself, does not in time provide some further upward change in the price-earnings ratio. If this happens, the stock would again go up at an even faster rate than the earnings are advancing, the combination which always produces the sharpest increases in share prices."

Has this optimistic forecast been confirmed? A look at the record may jolt those who still insist that it is possible to appraise an investment by a superficial analysis of past earnings and little more. Profits rose from $1.11 per share in 1957 to $1.84 in 1958 and give promise of topping $3.50 in 1959. Since the first edition of this book was completed, the company attained honors that were bound to rivet the attention of the financial community upon it. In 1958, in the face of competition from some of the generally acclaimed giants of the electronics and electrical equipment industry, International Business Machines Corporation, overwhelmingly the largest electronic calculating machine manufacturer in the world, selected Texas Instruments to be its associate for joint research effort in the application of semi-conductors to this type of equipment. Again, in 1959 Texas Instruments announced a technological breakthrough whereby it was possible to use semi-conductor mate-rial of approximately the same size as existing transistors, not alone for a transistor but for a complete electronic circuit! What this may bring about in the way of miniaturization almost staggers the imagination. As the company has grown, its unusually able product research and development groups have increased proportionately.